KENBRIGHT ACTUARIAL AND FINANCIAL SERVICES LIMITED

INVESTMENT POLICY STATEMENT

INTERNAL TECHNICAL PROCEDURES

VERSION 1.0

JANUARY 2026

KAFS POLICY

Kenbright Actuarial & Financial Servic
26th Floor- Prism Towers – 3rd Ngong
P. O. Box 28281 – 00200
Nairobi, Kenya
kafs@kenbright.co.ke

DOCUMENT TRACKING

Revision History			
Version	**Author**	**Date**	**Revision**
1.0	Kenbright Actuarial and Financial Services Limited	January 2026	Creation

Prepared for:

Kenbright Actuarial & Financial Services Limited
26th Floor, Prism Towers
3rd Ngong Avenue, Upperhill
P.O Box 28281 - 00200
Nairobi, Kenya

OUR REF

\\Kenbright\Internal Technical Procedures\Investment Policy Statement

DOCUMENT PURPOSE

This document has been produced as part of the internal technical procedures for KAFS and provides guidance on valuation processes for Investment Policy Statement

DOCUMENT OWNERSHIP

The owner of this document is Kenbright Actuarial and Financial Services Limited

TABLE OF CONTENTS

1. INTRODUCTION 6
Purpose 6
Key Concepts 6
2. INVESTMENT POLICY STATEMENT 7
Introduction 7
Objectives of an IPS 7
Investment Objectives 7
Types of Pension Schemes 8
3. INVESTMENT ASSETS 9
Categorization of Assets 9
Statutory Limits 9
RBA 9
IRA 10
4. ASSET ALLOCATION 11
Introduction 11
Asset Allocation Strategies 11
Strategic Asset Allocation (SAA) 11
Tactical Asset Allocation (TAA) 11
Allocation based on Scheme Type 12
Guaranteed Schemes 12
Segregated Schemes 12
Portfolio Composition and Risk Profiles 13
Conservative 13
Aggressive 13
Moderate 13
A Guide to Asset Allocation 14
Investment Manager - Benchmarks 15
Internal Rate of Return 15
5. DATA REQUIREMENTS 17
Overview 17
6. DATA REQUEST TEMPLATE 18
Membership Register 19
7. DATA CHECKS 20
Reasonability & Appropriateness Checks 20
Quick Guide to IPS Valuation 20
Assumptions and Scheme Details 20
Membership Analysis 20
Investment Income 21
Industry Analysis 21

Market and Asset Performance Benchmark 21
Asset Allocation 21
8. APPENDICES 22
Appendix 1: Sign-Off Template 22
9. APPROVAL 23

ABBREVIATIONS

NAME	DEFINITION
ALM	Asset Liability Matching
AVC	Additional Voluntary Contributions
CIS	Collective Investment Scheme
CMA	Capital Markets Authority
DB	Defined Benefit
DC	Define Contribution
ERA	Early Retirement Age
IPP	Individual Pension Plan
IPS	Investment Policy Statement
IRA	Insurance Regulatory Authority
IRR	Internal Rate of Return
KAFS	Kenbright Actuarial and Financial Services Limited
LRA	Late Retirement Age
NRA	Normal Retirement Age
NSE	Nairobi Security Exchange
REIT	Real Estate Investment Trust
RBA	Retirement Benefits Authority
SAA	Strategic Asset Allocation
SRBS	Staff Retirement Benefits Scheme
SPS/SPF	Staff Pension Scheme (Fund)
S&P	Standard and Poor's
TAA	Tactical Asset Allocation
TDR	Trust Deed & Rules

1. INTRODUCTION

Purpose

1.1. The Retirement Benefits Authority (RBA) requires every registered pension scheme in Kenya to have an Investment Policy Statement (IPS) in place.

1.2. Additionally, for insurers operating in Kenya, the Insurance Regulatory Authority (IRA) has issued guidelines on the formulation and implementation of IPS.

1.3. These guidelines ensure that investment decisions are consistent with fiduciary duties, regulatory requirements, and the long-term interests of members or policyholders.

1.4. The purpose of an IPS is to provide a structured framework that defines the objectives, risk tolerance, asset allocation strategy, governance processes, and performance monitoring standards of the scheme or insurer's investment function. This ensures that investments are managed prudently, transparently, and in alignment with both local regulations and international best practices.

1.5. This manual outlines the IPS framework, detailing the key principles, governance structure, investment objectives, strategic asset allocation, risk management practices, and reporting requirements that guide investment management for insurers and pension schemes in Kenya.

Key Concepts

1.6. **Investment policy statement ('IPS')-** This is a formal, written document that outlines the principles, objectives, and guidelines governing the investment of funds.

1.7. **Investment (Fund) manager-** An organization that invests assets on behalf of third parties.

1.8. **Investment Philosophy-** Set of principles or systems by investors to govern the way they manage portfolios.

1.9. **Investment Strategy-** Investor's long-term distribution of assets among various asset classes taking into consideration e.g., goals of the company or trustees, attitude to risk, timeframe, etc.

1.10. **Asset Allocation-** The distribution of investments across categories of assets such as equities, bonds, and cash. Asset allocation influences both risk and return and is key to the investment strategy.

1.11. **Diversification-** The spreading of investments across different asset classes.

1.12. **Trust Deed and Rules-** The legal document that establishes and governs a retirement benefits scheme, setting out its legal basis, operational rules, and members' rights, as approved by the RBA

2. INVESTMENT POLICY STATEMENT

Introduction

2.1. An Investment Policy Statement (IPS) is a formal, written document that outlines the principles, objectives, and guidelines governing the investment of funds.

2.2. For pension schemes, the IPS is a critical governance tool that ensures consistency, accountability, and alignment between the scheme's objectives and the investment strategies adopted by fund managers.

Objectives of an IPS

2.3. The objectives of an Investment Policy Statement are to:-

a) Prescribe the principles governing the investment decision of a scheme/insurer, i.e, Investment Strategy, Investment Objectives, and Investment Philosophy.

b) Guide the investment of the insurer in matters relating to the category of investments to be held, risk, realization of investments, and ALM.

c) Ensure that the assets of the scheme/insurer are always structured and invested prudently.

d) Ensure compliance with all laws & regulations issued under the IRA and RBA including statutory submissions.

e) Guide communication to stakeholders on investments decisions of the scheme/insurer.

f) Guide on the appointment of investment managers.

g) Provide clear performance benchmarks & deliverables regarding the Investment of the scheme/insurer.

h) Create a Framework whereby the investment strategy is determined.

i) Define & prescribe responsibilities of parties involved in the investment process.

j) Provide a clear delineation of responsibilities and ensure compliance among the Board, Senior Management, and Control Functions.

Investment Objectives

2.4. The primary investment objectives of a scheme/insurer are:

a) **Capital Preservation:** The investment of the scheme/insurer's assets should ensure the preservation of capital;

b) **Long-term Capital Growth:** Capital growth with the avoidance of excessive risk over the long term. Short term volatility should be tolerated if appropriate considering the asset class and comparable index;

c) **Return on Investment:** The attainment of the agreed investment performance deliverables against accepted benchmarks over the investment period;

d) **Liquidity:** An adequate level of liquidity should be maintained to enable the scheme/insurer to meet its liabilities and obligations; and

e) **Diversification:** The investment portfolio should remain diversified to minimize the associated risks across asset classes, sectors, and stocks.

Types of Pension Schemes

2.5. The table below shows a summary of the categorization of pension schemes.

Category	Type	Description
Funding Structure	Defined Benefit (DB)	Guarantees a specific retirement benefit, based on a formula (e.g., salary × service). Employer bears investment and funding risk. Requires periodic actuarial valuations. DB schemes are declining due to funding challenges.
	Defined Contribution (DC)	Employer and employee contribute fixed amounts (flat or % of salary). Benefits depend on accumulated contributions plus investment income, net of expenses. Member bears investment and longevity risk.
Investment Type	Guaranteed Schemes	Capital and a minimum return are guaranteed. Managed by Approved Issuers (e.g., insurers). Conservative to moderate risk profile. Trustees receive a Deposit Administration Policy.
	Segregated Schemes	Investments are tailored to scheme's membership profile. No guarantee on capital or returns. Trustees and fund managers develop an investment strategy in line with the Investment Policy Statement.
	Hybrid Schemes	Combination of guaranteed and segregated funds. Members' balances are split between secure (guaranteed) and growth-oriented (segregated) investments. Flexibility may eventually extend to member-level choices.
Benefit Type	Provident Fund	Provides a lump sum at retirement. Member may choose to use part of the benefit to buy an annuity or income drawdown product.
	Pension Fund	Provides both a pension and partial lump sum. Up to one-third may be taken as cash, while the remaining two-thirds is used to purchase an annuity or fund an income drawdown.

3. INVESTMENT ASSETS

Categorization of Assets

3.1. The categorization of assets classes considered for investment is based on fourteen broad classes listed below:

a) Private Equity

b) Immovable Property (In Kenya)

c) Unquoted Equities

d) REITs

e) Quoted Equities

f) Offshore

g) Guaranteed Funds

h) Listed Corporate Bonds

i) Fixed Deposits

j) Government Securities

k) Cash

l) Derivatives

m) Commercial paper, non-listed bonds

n) Debt Instruments

Statutory Limits

RBA

3.2. The table below highlights the key items that a scheme should comply with for statutory purposes.

Compliance with Retirement Benefits (Occupational Retirement Benefits Schemes) Regulations, 2000		
No	Asset Class	MAX
1	Cash and Demand Deposits	5%
2	Fixed deposits, Time deposits	30%
3	Listed Corporate Bonds, Mortgage Bonds, and Fixed Income Instruments	20%
4	Commercial Paper, non-listed bonds,	10%
5	Government Securities and infrastructure bonds	90%, or 100%
6	Preference shares and ordinary shares	70%
7	Unlisted shares & equity instruments	5%
8	Offshore investments	15%
9	Immovable property in Kenya	30%
10	Guaranteed Funds	100%
11	All exchange-traded derivatives	5%
12	All listed Real Estate Investment Trusts	30%
13	Private Equity & Venture Capital	10%
14	Debt Instruments	10%
15	Any other Assets *(require written approval of RBA)*	10%

IRA

3.3. The IRA has prescribed investment limits for insurance companies for different asset classes. The limits are as follows:

IRA Investment Guidelines to Insurance Asset Allocation		
No.	**Investment Category**	**Maximum Limit%**
1	Government securities issued - National and Counties	100%
2	Fixed deposits in institutions licensed under the Banking Act, CAP 488 of the Laws of Kenya.	95%
3	Cash and demand deposits in institutions licensed under the Banking Act, CAP 488 of the Laws of Kenya.	30%
4	Equity securities:	
	Ordinary shares -Quoted	30%
	Ordinary shares -Unquoted	10%
	Preference Share - Quoted	10%
	Preference Share - Unquoted	
5	Debt Securities:	
	Corporate Bonds - Secured	10%
	Commercial Paper- Secured	10%
	Commercial Paper - Unquoted	5%
	Debentures - Listed Entities	10%
	Debentures - Unlisted Entities	5%
6	Land & Buildings	50%
7	Investment Property	70%
8	Investment in related companies	10%
9	Policy Loans up to maximum of the Cash Surrender Value	100%
10	Secured loans	10%
11	Mortgages	20%
12	Real Estate Investment Trusts (REITs) approved by the Authority	10%
13	Foreign investments	5%

4. ASSET ALLOCATION

Introduction

4.1. Asset Allocation is the process of dividing an investment portfolio across different asset classes such as equities, fixed income, property, cash, and alternative investments in order to balance risk and return.

4.2. It is a strategic decision that determines how scheme funds are invested to meet long-term obligations, taking into account factors such as the scheme's liabilities, risk tolerance, regulatory limits, and market conditions.

Asset Allocation Strategies

4.3. There are two types of asset allocation strategies.

Strategic Asset Allocation (SAA)

4.4. Strategic Asset Allocation is the **long-term plan** that sets how investments are divided across major asset classes such as equities, bonds, real estate, etc. It reflects the investor's overall goals, risk tolerance, and time horizon.

4.5. The purpose of SAA is to create a stable, long-term investment structure aimed at meeting future financial objectives (e.g., paying pension or policyholder liabilities or achieving target returns).

4.6. This type of asset allocation mainly has a long-term focus, based on long term assumptions for returns (e.g. 5–30 years). Additionally, it is usually fixed, with only periodic reviews and rebalanced periodically to restore the target mix.

Example: A pension fund may allocate; 50% in Bonds, 30% in Equities, 15% in Property and 5% in Cash. This becomes the default investment structure.

Tactical Asset Allocation (TAA)

4.7. Tactical Asset Allocation involves **short-term adjustments** made around the strategic allocation to take advantage of market conditions or to protect the portfolio from emerging risks.

4.8. TAA is used to improve returns or reduce risk by temporarily altering the portfolio when market opportunities or threats arise.

4.9. It usually has a short-term focus (months to a few years), and based on market trends, economic signals, or valuation differences.

Example: If interest rates are expected to fall, an investor might temporarily increase bond holdings above the strategic level to benefit from rising bond prices.

4.10. In most investment policies, Tactical Asset Allocation is allowed within controlled limits. This means the investor can only adjust the portfolio up to a maximum or down to a minimum around the Strategic Asset Allocation target.

4.11. These limits ensure that tactical decisions do not introduce excessive risk or drift too far from the long-term investment strategy.

*Example: If the Strategic Asset Allocation for equities is **40%,** the IPS may allow a tactical range of **±5%.** This means that the tactical minimum is **35%** and the tactical maximum is **45%**. The investment manager can tactically shift the equities anywhere between 35–45%, depending on market conditions, but cannot go beyond those limits, as shown in the table below.*

Asset Class	Tactical Minimum	Strategic Target	Tactical Maximum
Equities	35%	40%	45%
Bonds	40%	45%	50%
Property	8%	10%	12%
Cash	2%	5%	8%

Allocation based on Scheme Type

4.12. The choice of asset allocation mainly depends on whether the scheme is guaranteed or segregated.

4.13. The following figures illustrate the differences in asset allocation between Guaranteed and Segregated Schemes.

Guaranteed Schemes

Proportion of Total Assets Held					
Asset Class	Tactical Minimum	Recommended Asset allocation	Tactical Maximum	RBA Limits	IRA Limits
Government Securities	0.00%	0.00%	90.00%	90.00%	100.00%
Quoted Equities	0.00%	0.00%	15.00%	70.00%	30.00%
Immovable Property in Kenya	0.00%	0.00%	0.00%	30.00%	70.00%
Guaranteed Funds	0.00%	100.00%	100.00%	100.00%	-
Listed Corporate Bonds	0.00%	0.00%	10.00%	20.00%	10.00%
Fixed Deposits	0.00%	0.00%	25.00%	30.00%	95.00%
Cash & Demand Deposits	0.00%	0.00%	5.00%	5.00%	30.00%
Any Other Asset	0.00%	0.00%	10.00%	10.00%	-

4.14. As shown in the figure above, all the investment assets are pooled together under the guaranteed funds.

4.15. Guaranteed schemes are typically managed by an insurance company (approved issuer).

4.16. In these schemes, the asset allocation is not directly determined by the pension trustees. Instead, the scheme's contributions are pooled and invested in the insurance company's statutory fund. The insurer then guarantees a minimum rate of return (e.g., 4% p.a.).

4.17. The asset allocations should be compliant with both RBA and IRA limits in all asset classes.

Segregated Schemes

Proportion of Total Assets held in Asset Class				
Asset Class	Tactical Minimum	Recommended Strategic Asset Allocation	Tactical Maximum	Statutory Maximum (RBA)
Treasury Bills	30.00%	70.00%	90.00%	90.00%
Treasury Bonds		5.00%		
Fixed Deposits	0.00%	5.00%	10.00%	30.00%
Quoted Equities	5.00%	10.00%	20.00%	70.00%
Unquoted Equities	0.00%	0.00%	0.00%	5.00%
Corporate Bonds	0.00%	2.00%	15.00%	20.00%
Immovable Property	0.00%	5.00%	10.00%	30.00%
REITs	0.00%	0.00%	0.00%	30.00%
Offshore	0.00%	2.00%	5.00%	15.00%
Private Equity	0.00%	0.00%	0.00%	10.00%
Derivatives	0.00%	0.00%	0.00%	5.00%
Debt Instruments	0.00%	0.00%	0.00%	10.00%
Any Other Asset	0.00%	0.00%	0.00%	10.00%
Cash & Demand Deposits	0.00%	1.00%	2.00%	5.00%
Guaranteed Funds	0.00%	0.00%	0.00%	100.00%

4.18. Segregated schemes involve appointing professional fund managers to invest the scheme's assets directly in financial markets.

4.19. In a segregated scheme, the asset allocation is set by the trustees through the IPS and implemented directly by the fund manager.

4.20. The scheme determines how much to allocate to equities, bonds, property, offshore assets, private equity, etc., and the fund manager constructs the portfolio to align with the Strategic Asset Allocation and RBA limits.

4.21. The asset allocations for these schemes should be compliant with RBA limits in all asset classes.

Portfolio Composition and Risk Profiles

4.22. Portfolio Composition is a diversified mix across equities, fixed income, property, offshore investments, and alternatives. Allocations can be tailored (e.g., conservative, aggressive, or moderate investment strategies).

4.23. These strategy options ensure that the portfolio composition remains aligned with the investor's risk appetite and long-term financial goals.

4.24. The choice among conservative, moderate, and aggressive investment strategies is closely aligned to the liability structure of the scheme. Each strategy is designed to match the scheme's member demographics, liability timing, and overall risk tolerance

Conservative

4.25. A conservative strategy emphasizes capital preservation and steady income, allocating a larger portion of funds to fixed income and cash while maintaining minimal exposure to higher-risk assets such as equities.

4.26. This strategy is typically suited to schemes with an older membership profile or those approaching maturity, where liabilities are short-term and predictable.

4.27. Such schemes require greater capital protection and stable income, making higher allocations to fixed income and cash more appropriate. This approach prioritizes stability over growth and minimizes the risk of losses.

Aggressive

4.28. An aggressive strategy seeks higher long-term growth by allocating a significant share of the portfolio to equities and other growth-oriented assets, accepting higher short-term volatility.

4.29. It is more suitable for schemes with younger members or long-term liabilities. The longer investment horizon allows the fund to take on higher exposure to equities and growth-oriented assets, aiming to enhance long-term returns.

4.30. The strategy accommodates short-term market variability in order to achieve long-term growth objectives consistent with the fund's liability profile

Moderate

4.31. A moderate strategy strikes a balance between the two, combining equity exposure for growth with fixed-income investments for stability.

4.32. It fits schemes with a balanced membership structure and medium-term liabilities. It allows for a blend of growth and income-generating assets while maintaining controlled risk exposure.

4.33. This strategy provides a middle ground, balancing the need for returns with the requirement for capital preservation.

4.34. The table below shows an example of the different risk profiles based on age group and the investment horizon.

Proportion of Liabilities			Investment Risk Appetite	
Age Band (Years)	by Fund Credit	by Member Count	Investment Horizon (Weighted Average)	Risk Profile
20-24	1%	0%	34	Aggressive
25-29	0%	2%	31	Aggressive
30-34	3%	8%	26	Aggressive
35-39	8%	13%	21	Aggressive
40-44	15%	14%	17	Moderate
45-49	13%	15%	12	Moderate
50-54	21%	18%	9	Conservative
55-60	24%	14%	4	Conservative
Above 60	15%	12%	0	Conservative
Total	**100%**	**100%**	**10**	**Conservative**

4.35. The investment horizon is computed as the years to retirement weighted by fund credits. The formula is given below.

$$Investment\ Horizon = \frac{Accumulated\ Fund\ Credits\ (AFC) * Years\ to\ Retirement\ (YTR)}{Accumulated\ Fund\ Credits\ (AFC)}$$

4.36. From the example above, majority of the members (60% by fund credit and 44% by member count) have 10 years and below to retirement. The risk profile is Conservative, hence the investment manager will choose conservative and low risk assets such as bonds.

Risk Profile (Focus)	Investment Horizon (Years to Retirement)
Aggressive (Growth)	More than 20 years
Moderate (Growth & Capital)	Above 10 years and up-to 20 years
Conservative (Protection of Capital)	10 years and below

A Guide to Asset Allocation

4.37. This provides the overall framework for how investments should be spread across asset classes. It serves as the reference point for what the allocation should look like before making any specific decisions.

1. Previous asset allocation

4.38. Reviewing how the Scheme allocated its assets in prior periods provides insight into its historic risk appetite, investment behaviour, and consistency with strategic objectives. It shows whether past allocations were effective and whether any previous imbalances or concentration risks need correction in the new allocation.

2. Asset Performance in the Market

4.39. It is important to assess how different asset classes are performing in the broader market. This includes reviewing recent trends in equities, fixed income, property, offshore markets, and alternative assets.

4.40. Understanding market-level performance helps identify which asset classes are currently experiencing growth, stability, or volatility.

3. Risk profile/ Nature of the Scheme

4.41. The Scheme's risk profile determines how much volatility it can withstand.

4.42. An aggressive risk profile allows for greater allocation to growth assets (e.g., equities), while a conservative risk profile requires a tilt toward more stable, income-oriented assets (e.g., bonds, money market).

4. The current asset value of the Scheme

4.43. The size of the asset base influences both the level of diversification achievable and the practicality of investing in certain asset classes.

4.44. It also helps determine how far the Scheme's current position is from its target allocation and what rebalancing actions are needed. Larger funds may have more capacity for alternatives or offshore assets compared to smaller funds.

Investment Manager - Benchmarks

4.45. The measurement criteria that will be used to benchmark the performance of the Scheme by asset class are tabled below.

4.46. An example of investment benchmarks used is as shown in the table below.

Investment Manager: Measurement Criteria – Performance Benchmark		
Asset Class	Main Benchmark	Alternate Benchmark
Quoted Equities	NSE 20	NSE All share index
Unquoted Equities	NSE 20	NSE All share index
Treasury Bonds	S&P Kenya Sovereign Bond Index	
Corporate Bonds	S&P Kenya Sovereign Bond Index	
Private Equity	S&P Private Equity Index	
Property	Hass Kenya Property Index	
Offshore	MSCI World Index	
Collective Investment Scheme	Average quarterly return of the 3 best performing money market funds in the country	91-day T-Bill
Guaranteed Funds	Average return of the 3 largest guaranteed funds over the last 3 years	91-day T-Bill
Treasury Bills	91-day T-Bill	
Fixed Deposits	91-day T-Bill	

4.47. In setting the benchmarks above, one should take into account key properties such as measurability, investability, relevance to current market views.

4.48. The Investment Manager's performance can be based on the quarterly performance by asset class to respective benchmarks.

Internal Rate of Return

4.49. Internal Rate of Return (IRR) refers to the actual annualized rate of return earned by the scheme over a given period, taking into account the timing, amount, and sequence of cash flows (such as contributions, withdrawals, expenses, and investment income).

4.50. IRR is used to assess whether the scheme's long-term return objectives are being achieved. It provides a realistic measure of the scheme's actual performance over time and helps determine whether the investment strategy is on track to meet the scheme's future benefit obligations.

4.51. Example: If the IPS target was 9% p.a, and the actual IRR achieved is 10.5%, this indicates that the scheme is exceeding its performance objectives.

4.52. An IRR below 9% indicates risk exposure or market underperformance. This means that the asset allocation or investment strategy may need review, and emphasizes the importance of monitoring performance against both the target IRR and the strategic benchmarks.

5. DATA REQUIREMENTS

Overview

5.1. Accurate and comprehensive data is fundamental to conducting an accurate valuation.

5.2. Incomplete or inconsistent data can lead to misstatements of scheme obligations, and challenges in decision-making for trustees and regulators.

5.3. For the IPS valuation as at the specified date, the policy level data required can be categorized into four key registers:

a) Active members
b) Deferred Members
c) Dormant Members
d) Exited Members

5.4. The main key data Items for the policy level data include:

i. Member Number / Unique Identifier
ii. Name
iii. Gender
iv. Membership Status
v. Date of Birth
vi. Date of Employment
vii. Date of Joining Scheme
viii. Employer Contribution
ix. Employee Contribution
x. Additional Voluntary Contributions (AVC)
xi. Accumulated Fund Credit as at Analysis Date

6. DATA REQUEST TEMPLATE

INVESTMENT POLICY STATEMENT VALUATION

General Information

Client:	**SOLARA SUMMIT STAFF PENSION SCHEME**
Project:	Preparation of Investment Policy Statement
Consultant:	Peak Consultancy Ltd
Analysis Date:	**31 December 2024**
Document Purpose:	This document is a data collection tool highlighting the details required from the Scheme for the Project

Requested Data

1	Scheme Trust Deed and Rules; including any amendments
2	Audited accounts for the last 3 years
3	Quarterly Fund Manager's Investment Report for the last Quarter – Q3 2024
4	Quarterly Custodian's Report for the last quarter – Q3 2024
5	Current Investment Policy Statement
6	Membership Data*

**Details of the required membership data are as provided in the following table*

Membership Data

Required Data Fields
Member Number/ Unique Identifier
Name
Gender
Membership Status
Date of Birth
Date of Employment
Date of Joining Scheme
Annual salary as at the Analysis Date
Employer Contributions
Employee Contributions
Additional voluntary Contributions
Accumulated Fund Credit (as at the Analysis Date)

Membership Register

Membership Data

Data as at Analysis Date

									Fund Credits as at analysis date			
Member No	Member Name	Membership Status	Category *(If Applicable)*	Gender	Date of Birth	Date of Employment	Date of Joining Scheme	Annual Salary as at analysis date	Employee	Employer	AVC	Accumulated Fund Credits as at analysis date

7. DATA CHECKS

7.1. Upon receiving data from the client for IPS valuation, it is important to conduct thorough data checks to ensure the accuracy and reliability of the information. Here are some essential data checks you should consider:

Reasonability & Appropriateness Checks

7.2. The following reasonability checks should be conducted on the data

a) Ensure all member data is complete, including personal information, employment history, and salary details.

b) Check for duplicates in the data.

c) Check for unusual member ages.

d) Verify the currency and units (e.g., annual, monthly) of reported salaries.

e) Verify the accuracy of contributions made by both employees and employers.

f) Ensure that contribution limits are not exceeded.

g) The information provided (membership, assets, investment return & audited financial statements) is relevant and represents the Scheme position as at the analysis Date.

7.3. Perform the following checks on the dates;

i. Date of Birth is before the Date of Employment

ii. Date of Birth is before the Date of Joining

iii. Date of Joining is after the Date of Establishment

iv. Date of Joining is after the Date of Employment

v. Age at Employment should be greater than 18

Quick Guide to IPS Valuation

Assumptions and Scheme Details

7.4. Populate the Assumptions and Scheme Details tabs with all required information, including the official scheme name as stated in the Trust Deed and Rules (TDR).

7.5. **Data Required:** Trust Deed and Rules provided by the client.

Membership Analysis

7.6. Populate the membership data and perform all applicable data reasonability checks as outlined in the section above. Send out any data queries to the client for clarification.

7.7. **Data Required:** Membership data provided by the client.

Investment Income

7.8. Input the investment income and related financial information from the audited financial statements. Ensure figures reconcile to the audited accounts.

7.9. **Data Required:** Audited financial statements from the client.

Industry Analysis

7.10. Populate the industry asset mix as at the valuation or analysis date (quarterly or annually) using the Regulator's Industry Report available for that period.

7.11. **Data Required:** Regulator's Industry Report sourced from the regulator's website.

Market and Asset Performance Benchmark

7.12. Conduct research on the performance of different asset classes in the market to understand prevailing return trends, risks, and economic drivers. This analysis will support informed asset allocation decisions.

7.13. **Data Required:** Industry research publications and Fund Managers'/Approved Issuers' quarterly investment reports.

Asset Allocation

7.14. Determine the appropriate asset allocation by assigning percentage weights to each asset class under the three portfolio profiles: Aggressive, Moderate, and Conservative. The total allocation should reflect the scheme's strategic position and should be guided by the framework discussed in Chapter 4.

7.15. This should be the last step, after all preceding analyses, to ensure the allocation is informed by a full understanding of the scheme's characteristics and the market environment.

7.16. **Data Required:** Outputs from all the above steps.

8. APPENDICES

Appendix 1: Sign-Off Template

Sign-off

Statement by the Lead Analyst

I confirm that I have carried out this work in line with the applicable KAFS Internal Technical Policy and Procedure. Below is a summary of the key assumptions made:

Key Assumptions

1 _____
2 _____
3 _____
4 _____
5 _____

Name: _____

Date: _____

Statement by Peer Reviewer

I have reviewed this work in line with the KAFS Work Review Policy and discussed all issues encountered with the Lead Analyst. Below are my review comments:

Review Comments

1 _____
2 _____
3 _____
4 _____
5 _____

Name: _____

Date: _____

Statement by Supervisor

I have reviewed this work and discussed the issues encountered and the key assumptions made by the Lead Analyst. I confirm that the results are in order.

Name: _____

Date: _____

9. APPROVAL

Thus, adopted and signed by the management and Chief Actuary of KAFS in January 2026.

APPROVED BY

Ezekiel Macharia

Chief Actuary & Managing Director – Kenbright Actuarial and Financial Services Limited

Date: January 2026

Signed:

kenbright

About Us

Kenbright Actuarial & Financial Services Limited (KAFS)
Prism Towers, 26th Floor
3rd Ngong Avenue, Nairobi
Kenya
www.kenbright.co.ke

Customer Service Lines: +254 (020) 22 111 52

Document Version

January 2026

Version 1.0: Creation

Reproduction – in total or in part – only with the permission of KAFS.

Key Contacts

E Macharia, FIA C.Act, FeASK
Chief Actuary & Managing Director
E-mail: ezekiel@kenbright.africa
Phone: +254 722 540 045